

CORPORATE SOCIAL RESPONSIBILITY (CSR) POLICY

FOR ASTONEA LABS LIMITED

CIN:L24304CH2017PLC041482

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Chandigarh, India, 160009**

This Corporate Social Responsibility (hereinafter referred to as 'CSR') Policy is framed in terms of the Companies Act, 2013 (hereinafter referred to as 'the Act') read with the Companies (Corporate Social Responsibility Policy) Rules, 2014 (hereinafter referred to as 'the CSR Rules'), as amended from time to time.

1. PREAMBLE

This Corporate Social Responsibility Policy ("Policy") is framed and adopted pursuant to the provisions of Section 135 of the Companies Act, 2013 ("Act") read with the Companies (Corporate Social Responsibility Policy) Rules, 2014, including all statutory amendments, modifications and re-enactments thereof from time to time ("CSR Rules"), and other applicable provisions, circulars, notifications and clarifications issued by the Ministry of Corporate Affairs and other regulatory authorities.

This Policy articulates the Company's philosophy, scope, governance framework and strategic approach towards Corporate Social Responsibility ("CSR"). It sets out the guiding principles, institutional mechanism, roles and responsibilities of the Board of Directors and the CSR Committee, criteria for identification and selection of CSR projects, modalities of execution, monitoring and reporting mechanisms, impact assessment parameters, and disclosure standards to ensure transparency, accountability and statutory compliance.

The Policy further establishes a structured and systematic process for planning, implementation and review of CSR initiatives in alignment with the activities specified under Schedule VII of the Act. It is intended to ensure that CSR initiatives are undertaken in a focused, result-oriented and sustainable manner, creating measurable social and environmental impact.

The Company recognizes CSR not merely as a statutory obligation but as a strategic and ethical business responsibility integral to its corporate values and long-term sustainability objectives. The Company is committed to contributing meaningfully towards sustainable development, inclusive socio-economic growth, environmental stewardship, community empowerment, and improvement in quality of life of underprivileged and marginalized sections of society, particularly in areas where it operates.

Through this Policy, the Company seeks to integrate social and environmental considerations into its business processes, foster stakeholder trust, promote responsible corporate citizenship, and ensure that its growth trajectory is aligned with the larger interests of society while maintaining the highest standards of governance, transparency and accountability.

2. VISION STATEMENT, OBJECTIVE AND APPLICABILITY:

(a) Commitment and Scope

The Corporate Social Responsibility ("CSR") Policy sets out the Company's commitment to undertake CSR activities in accordance with Section 135 of the Companies Act, 2013 and the Companies (Corporate Social Responsibility Policy) Rules, 2014, as amended from time to time.

The Policy provides the guiding principles and framework for identification, selection, implementation, monitoring and reporting of CSR projects and programmes undertaken by the Company.

The Company shall undertake CSR initiatives as approved by the Board, based on the recommendations of the CSR Committee, and as set out in the Annual Action Plan. Such initiatives may include short-term, medium-term and long-term projects, including ongoing projects (as defined under the CSR Rules), aimed at creating sustainable and measurable impact in the areas specified under Schedule VII of the Act.

(b) Statutory Framework

This CSR Policy has been framed in strict compliance with:

- Section 135 of the Companies Act, 2013;
- Schedule VII of the Companies Act, 2013;
- Companies (Corporate Social Responsibility Policy) Rules, 2014, including amendments thereof; and
- All applicable circulars, notifications and clarifications issued by the Ministry of Corporate Affairs from time to time.

The provisions of this Policy shall be subject to statutory modifications and shall be interpreted in a manner consistent with the Act and the CSR Rules.

(c) Focus Areas in Line with Schedule VII

The Company is committed to undertaking CSR activities in areas specified under Schedule VII of the Act, including but not limited to:

- Eradicating hunger, poverty and malnutrition;
- Promoting health care including preventive health care and sanitation;
- Promoting education, vocational skills and livelihood enhancement;
- Promoting gender equality and empowerment of women;
- Ensuring environmental sustainability, ecological balance and conservation of natural resources;
- Promotion of green and energy-efficient technologies;
- Rural development projects and development of backward regions;
- Upliftment of marginalized, economically weaker and underprivileged sections of society;
- Disaster management, relief and rehabilitation.

The Company may also undertake capacity-building initiatives and community development programs in accordance with the permissible activities under Schedule VII.

(d) Responsible and Sustainable Growth

The Company acknowledges that CSR is not merely a statutory obligation but a continuing commitment to operate in an economically, socially and environmentally sustainable manner.

The Company shall endeavor to conduct its business operations responsibly, minimize adverse environmental impact, promote ethical governance practices, and enhance positive social impact in the communities in which it operates.

Through this Policy, the Company seeks to align its business growth with principles of sustainability, stakeholder inclusiveness, transparency and long-term value creation, consistent with applicable legal and regulatory requirements.

3. CSR COMMITTEE

The Corporate Social Responsibility Committee (“CSR Committee”) shall be the primary governing body responsible for overseeing, administering and monitoring the implementation of the Company’s CSR Policy and CSR programmes in accordance with applicable statutory provisions.

The CSR Policy shall be approved by the Board of Directors of the Company (“Board”) after considering the recommendations of the CSR Committee and shall be disclosed on the website of the Company, if any, in accordance with the requirements of the Companies Act, 2013 and the CSR Rules.

The Company shall constitute a CSR Committee of the Board in accordance with Section 135 of the Companies Act, 2013. The composition of the CSR Committee shall be as prescribed under applicable law and determined by the Board from time to time.

Where the Company is required to appoint an Independent Director under Section 149 of the Act, the CSR Committee shall consist of three or more directors, including at least one Independent Director. In other cases, the composition of the Committee shall be in accordance with the provisions of the Act and the CSR Rules as applicable to the Company.

The CSR Committee shall meet at such intervals as may be necessary to effectively discharge its functions, and in any case, as frequently as required to formulate, recommend, review and monitor the CSR Policy, the Annual Action Plan and CSR projects of the Company

Composition of CSR Committee:

S. No.	Name of Director	Designation in the Committee
1.	Ms. Salina Chalana	Chairperson
2.	Mr. Vikrant	Member
3.	Ms. Pooja Singh	Member

The Company Secretary cum Compliance Officer of the Company shall act as a secretary to the Committee and Committee may invite any other person to attend the committee meeting(s) as may be required in furtherance of the CSR activities.

QUORUM

The quorum for a meeting of the CSR Committee shall be one-third of the total strength of the Committee or two members, whichever is higher, unless otherwise prescribed under applicable law.

Participation of members through electronic mode shall be permitted in accordance with the provisions of the Companies Act, 2013 and the Secretarial Standards on Meetings of the Board of Directors, as applicable.

MEETINGS AND RECOMMENDATIONS

The CSR Committee shall meet at such intervals as may be necessary to discharge its duties effectively and in compliance with statutory requirements.

The Committee shall:

- Identify and recommend to the Board the CSR projects or programmes to be undertaken by the Company in accordance with Schedule VII of the Companies Act, 2013;
- Recommend the amount of expenditure to be incurred on such CSR activities;
- Formulate and recommend to the Board the Annual Action Plan as required under Rule 5(2) of the CSR Rules;
- Place periodic reports before the Board on the status of implementation of CSR activities and utilization of funds.

The Board, after considering the recommendations of the CSR Committee, shall approve the CSR Policy, CSR projects and the Annual Action Plan, and shall ensure compliance with the provisions of Section 135 of the Act and the CSR Rules.

POWERS AND FUNCTIONS OF THE CSR COMMITTEE

The CSR Committee shall have the following powers and functions:

1. To formulate and recommend to the Board a CSR Policy indicating the activities to be undertaken by the Company in areas specified under Schedule VII of the Companies Act, 2013.
2. To formulate and recommend to the Board the Annual Action Plan, which shall include:
 - ❖ List of approved CSR projects or programmes;
 - ❖ Manner of execution of such projects;
 - ❖ Modalities of utilization of funds and implementation schedules;
 - ❖ Monitoring and reporting mechanism;
 - ❖ Details of need and impact assessment, if applicable.
3. To recommend the amount of CSR expenditure to be incurred during a financial year.
4. To monitor the implementation and progress of CSR projects and programmes, including ongoing projects.
5. To review compliance with statutory provisions, including:
 - ❖ Administrative overhead limits (not exceeding 5% of total CSR expenditure for the financial year);
 - ❖ Treatment of unspent CSR amounts;
 - ❖ Set-off of excess CSR expenditure, if any.
6. To review and assess the impact of CSR projects where applicable under Rule 8(3) of the CSR Rules.

7. To review the CSR Policy periodically and recommend modifications, if required.
8. To perform such other duties and exercise such powers as may be required under applicable laws or as delegated by the Board from time to time.

MONITORING AND FUNCTIONING

The CSR Committee shall establish a transparent monitoring mechanism for effective implementation of CSR projects.

For this purpose:

- The Committee may seek reports from internal functional teams, finance department, or independent implementing agencies.
- The Company may, where appropriate, utilize internal audit or third-party agencies to review fund utilization and project progress.
- Periodic progress reports (quarterly or at such intervals as determined by the Committee) shall be placed before the Board.

In respect of ongoing projects, the Committee shall monitor implementation with reference to approved timelines and year-wise allocation and shall recommend modifications, if required, to the Board for approval.

Upon approval of CSR projects and budget by the Board, the allocated amount shall constitute the Company's CSR obligation for the relevant financial year, subject to compliance with statutory provisions relating to unspent amounts

4. IMPLEMENTATION OF THE CSR POLICY:

The overall responsibility for implementation, supervision and compliance of the CSR Policy shall vest with the Board of Directors of the Company ("Board"), subject to the provisions of Section 135 of the Companies Act, 2013 and the Companies (Corporate Social Responsibility Policy) Rules, 2014, as amended from time to time.

The roles and responsibilities of the Board in relation to CSR shall include the following:

4.1 Approval of CSR Policy and Annual Action Plan

The Board shall:

- (a) Approve the CSR Policy after considering the recommendations of the CSR Committee;
- (b) Approve the Annual Action Plan formulated and recommended by the CSR Committee, including any modifications thereto.

4.2 Ensuring Implementation and Compliance

The Board shall ensure that:

- (a) The CSR activities undertaken by the Company are in accordance with the CSR Policy and Schedule VII of the Companies Act, 2013;

- (b) The Company spends, in every financial year, at least two percent (2%) of the average net profits of the Company made during the three immediately preceding financial years, calculated in accordance with Section 198 of the Act;
- (c) CSR projects are implemented in a transparent, accountable and time-bound manner;
- (d) The CSR obligation is fulfilled in accordance with the provisions relating to ongoing projects and other than ongoing projects under Section 135(5) and 135(6) of the Act.

4.3 Monitoring and Oversight

The Board shall:

- (a) Review periodic reports placed before it by the CSR Committee regarding implementation status, fund utilization and progress of CSR projects;
- (b) In the case of ongoing projects, monitor implementation with reference to approved timelines and year-wise allocation and may make necessary modifications within the overall permissible time period;
- (c) Satisfy itself that funds disbursed for CSR purposes have been utilized for the approved purposes and in the manner as approved.

4.4 Delegation and Execution Authority

The Board may authorize one or more Directors or officers of the Company to:

- Finalize, execute and deliver agreements, memoranda of understanding, contracts or other documents with implementing agencies or other stakeholders;
- Undertake necessary filings, documentation and compliance formalities;
- Make operational decisions for effective execution of CSR projects.

Such delegation shall not absolve the Board of its statutory responsibilities under the Act.

4.5 Unspent CSR Amount – Ongoing Projects

In respect of any amount remaining unspent relating to an ongoing project:

- (a) The Company shall, within thirty (30) days from the end of the financial year, transfer such amount to a special account in any scheduled bank to be called the “Unspent Corporate Social Responsibility Account”;
- (b) The amount so transferred shall be spent by the Company within a period of three financial years from the date of such transfer;
- (c) If the Company fails to spend such amount within the stipulated period, the same shall be transferred within thirty (30) days from the date of completion of the third financial year to a Fund specified in Schedule VII of the Act.

4.6 Unspent CSR Amount – Other than Ongoing Projects

Any unspent CSR amount not relating to an ongoing project shall be transferred by the Company to a Fund specified in Schedule VII of the Act within six (6) months from the end of the financial year.

4.7 Treatment of Surplus

Any surplus arising out of CSR activities shall not form part of the business profits of the Company and shall be:

- (a) Ploughed back into the same project; or
 - (b) Transferred to the Unspent CSR Account; or
 - (c) Transferred to a Fund specified in Schedule VII of the Act,
- as permitted under the CSR Rules.

4.8 Disclosure and Reporting

The Board shall ensure that:

- (a) An annual report on CSR containing the prescribed particulars is included in the Board's Report;
- (b) The CSR Policy, composition of the CSR Committee and projects approved by the Board are disclosed on the Company's website, if any;
- (c) Reasons for any shortfall in CSR spending are adequately disclosed in the Board's Report.

4.9 Implementation Through Eligible Agencies

The Company may undertake CSR activities:

- Directly by itself; or
- Through eligible implementing agencies registered under Section 8 of the Act, or registered public trusts or societies, or entities established by Central or State Government;
- Through entities registered under Section 12A and 80G of the Income Tax Act, 1961;
- Through agencies having a valid CSR Registration Number obtained by filing Form CSR-1 with the Ministry of Corporate Affairs.

All such implementing agencies shall meet the eligibility criteria prescribed under the CSR Rules.

5. CORPORATE SOCIAL RESPONSIBILITY ACTIVITIES (CSR ACTIVITIES):

5.1 Mode of Undertaking CSR Activities

The Board shall ensure that CSR activities are undertaken by the Company in accordance with Section 135 of the Companies Act, 2013 and Rule 4 of the Companies (CSR Policy) Rules, 2014, as amended from time to time.

The Company may undertake CSR activities:

(a) Direct Implementation

By the Company itself; or

(b) Through Eligible Implementing Agencies

Through any of the following entities, subject to compliance with applicable eligibility criteria:

1. A company established under Section 8 of the Companies Act, 2013, or a registered public trust or registered society, registered under Section 12A and Section 80G of the Income Tax Act, 1961, established by the Company either singly or along with any other company;
2. A company established under Section 8 of the Act, or a registered trust or registered society, established by the Central Government or State Government;
3. Any entity established under an Act of Parliament or a State Legislature;
4. A company established under Section 8 of the Act, or a registered public trust or registered society, registered under Section 12A and 80G of the Income Tax Act, 1961, and having an established track record of at least three years in undertaking similar activities.

All implementing agencies shall mandatorily be registered with the Ministry of Corporate Affairs by filing Form CSR-1 and shall possess a valid CSR Registration Number.

The Company may also collaborate with other companies for undertaking CSR projects, provided that each company is able to report separately on such projects in accordance with the CSR Rules.

5.2 Permissible CSR Activities

The Company may undertake CSR activities in areas or subjects specified under Schedule VII of the Companies Act, 2013. The interpretation of Schedule VII shall be liberal so as to capture the essence of the subjects enumerated therein.

Without prejudice to the generality of the above, CSR activities may include:

(i) Eradicating Hunger, Poverty and Malnutrition

Including promoting health care (including preventive health care), sanitation, safe drinking water and contributions to the Swachh Bharat Kosh set up by the Central Government.

(ii) Promoting Education

Including special education, employment enhancing vocational skills, livelihood enhancement projects, and education support initiatives for children, women, elderly and differently-abled persons.

(iii) Promoting Gender Equality

Including empowering women, setting up homes and hostels for women and orphans, old age homes, day care centres, and measures for reducing inequalities faced by socially and economically backward groups.

(iv) Environmental Sustainability

Including ecological balance, protection of flora and fauna, animal welfare, agroforestry, conservation of natural resources, maintaining quality of soil, air and water, and contributions to the Clean Ganga Fund.

(v) Protection of National Heritage

Including restoration of buildings and sites of historical importance, preservation of works of art, setting up public libraries, and promotion of traditional arts and handicrafts.

(vi) Armed Forces Welfare

Including measures for the benefit of armed forces veterans, war widows and their dependents, and veterans of Central Armed Police Forces (CAPF) and other paramilitary forces.

(vii) Promotion of Sports

Including training to promote rural sports, nationally recognized sports, Paralympic sports and Olympic sports.

(viii) Contributions to Specified Funds

Including contributions to:

- Prime Minister's National Relief Fund;
- PM CARES Fund;
- Any other fund set up by the Central Government for socio-economic development and relief and welfare of Scheduled Castes, Scheduled Tribes, Other Backward Classes, minorities and women.

(ix) Research and Development Contributions

(a) Contributions to incubators or research and development projects in science, technology, engineering and medicine funded by the Central Government, State Government, Public Sector Undertakings or agencies thereof;

(b) Contributions to public funded universities and specified institutions including:

- Indian Institutes of Technology (IITs);
- National Laboratories and autonomous bodies under the Department of Atomic Energy (DAE);
- Department of Biotechnology (DBT);
- Department of Science and Technology (DST);
- Department of Pharmaceuticals;
- Ministry of AYUSH;
- Ministry of Electronics and Information Technology;
- Defence Research and Development Organisation (DRDO);
- Indian Council of Agricultural Research (ICAR);
- Indian Council of Medical Research (ICMR);
- Council of Scientific and Industrial Research (CSIR);

engaged in research aimed at promoting Sustainable Development Goals (SDGs).

(x) Rural Development Projects

(xi) Slum Area Development

For the purpose of this clause, “slum area” shall mean any area declared as such by the Central Government, State Government or any competent authority under applicable law.

(xii) Disaster Management

Including relief, rehabilitation and reconstruction activities.

5.3 General Conditions

- CSR projects shall not include activities undertaken in the normal course of business of the Company, except where specifically permitted under applicable law.
- CSR activities shall be undertaken within India.
- Activities benefiting only employees of the Company and their families shall not qualify as CSR.
- Any surplus arising out of CSR activities shall be dealt with in accordance with the CSR Rules.

6. QUANTUM OF CSR EXPENDITURE

6.1 Statutory CSR Obligation

The Company shall, in every financial year, spend at least two percent (2%) of the average net profits of the Company made during the three immediately preceding financial years, calculated in accordance with Section 198 of the Companies Act, 2013.

The CSR obligation shall be computed and discharged in accordance with Section 135(5) of the Act and applicable CSR Rules.

6.2 Administrative Overheads

Administrative overheads shall not exceed five percent (5%) of the total CSR expenditure of the Company for the relevant financial year, as prescribed under the CSR Rules.

Administrative overheads shall not include expenses directly incurred for the design, implementation, monitoring and evaluation of a specific CSR project.

6.3 Treatment of Surplus

Any surplus arising out of CSR activities shall:

- Not form part of the business profits of the Company; and
- Be dealt with in accordance with Rule 7(2) of the CSR Rules.

Such surplus shall be:

- (a) Ploughed back into the same project; or
- (b) Transferred to the Unspent CSR Account; or
- (c) Transferred to a Fund specified in Schedule VII of the Act,

as permitted under applicable law.

6.4 Unspent CSR Amount

(A) Ongoing Projects

In respect of unspent CSR amount relating to an ongoing project:

1. The Company shall, within thirty (30) days from the end of the financial year, transfer such amount to a special bank account to be called the “Unspent Corporate Social Responsibility Account”;
2. The amount so transferred shall be spent within three financial years from the date of such transfer;
3. If not spent within such period, the Company shall transfer the same to a Fund specified in Schedule VII within thirty (30) days from the date of completion of the third financial year.

(B) Other than Ongoing Projects

Any unspent CSR amount not relating to an ongoing project shall be transferred to a Fund specified in Schedule VII within six (6) months from the end of the financial year.

6.5 Set-Off of Excess CSR Expenditure

Where the Company spends an amount in excess of its CSR obligation in a financial year, such excess amount may be set off against the CSR requirement of the immediately succeeding three financial years, subject to:

- Passing of a Board resolution to that effect; and
- Compliance with the conditions prescribed under the Companies (CSR Policy) Amendment Rules, 2021.

7. EXCLUSIONS FROM CSR

The following activities shall not qualify as CSR activities:

1. Activities undertaken in the normal course of business of the Company, except as otherwise permitted under applicable law;
2. Any contribution, directly or indirectly, to any political party under Section 182 of the Companies Act, 2013;
3. Activities that benefit only the employees of the Company and their families;
4. Activities undertaken outside India, except for training of Indian sports personnel representing India at national or international level, as permitted under law;
5. Any activity not in conformity with Schedule VII of the Act.

8. REPORTING AND RECORD KEEPING

8.1 Maintenance of Records

The CSR Committee shall maintain proper minutes of its meetings and shall ensure that adequate documentation and records are maintained in respect of:

- CSR projects approved by the Board;
- Fund allocation and utilization;
- Agreements with implementing agencies;
- Monitoring reports;
- Impact assessment reports, where applicable.

8.2 Board's Report Disclosure

The Board shall ensure that:

1. The Board's Report includes an Annual Report on CSR containing particulars as prescribed under the CSR Rules;
2. Reasons for any shortfall in meeting the CSR obligation are disclosed in the Board's Report;
3. Impact assessment reports, where applicable, are annexed or disclosed as required;
4. The contents of the CSR Policy are disclosed in the Board's Report.

9. CONTINUOUS IMPROVEMENT

The CSR Committee shall periodically review the effectiveness of the CSR Policy and implementation framework and shall recommend improvements to the Board to enhance:

- Transparency;
- Measurable impact;
- Governance standards;
- Alignment with statutory amendments and best practices.

10. IMPLEMENTATION OF CSR PROJECTS

CSR projects may be implemented:

- Directly by the Company; or
- Through eligible implementing agencies in accordance with Rule 4 of the CSR Rules; or
- In collaboration with other companies, subject to separate reporting requirements.

All implementing agencies must be eligible under applicable law and possess valid CSR Registration (Form CSR-1).

The modalities of execution, fund utilization, monitoring mechanism and timelines shall be governed by the Annual Action Plan approved by the Board.

11. WEBSITE DISCLOSURE

The Company shall display on its website, if any:

- The CSR Policy;
- Composition of the CSR Committee;
- CSR projects approved by the Board;
- Such other information as may be prescribed under applicable law.

12. GENERAL

1. In case of any ambiguity or inconsistency between this Policy and applicable statutory provisions, the provisions of the Companies Act, 2013 and CSR Rules shall prevail.
2. Any subsequent amendment, modification or clarification issued under the Act or CSR Rules shall automatically apply to this Policy.
3. The Board reserves the right to amend, modify or revise this Policy from time to time based on recommendations of the CSR Committee or statutory changes.
